

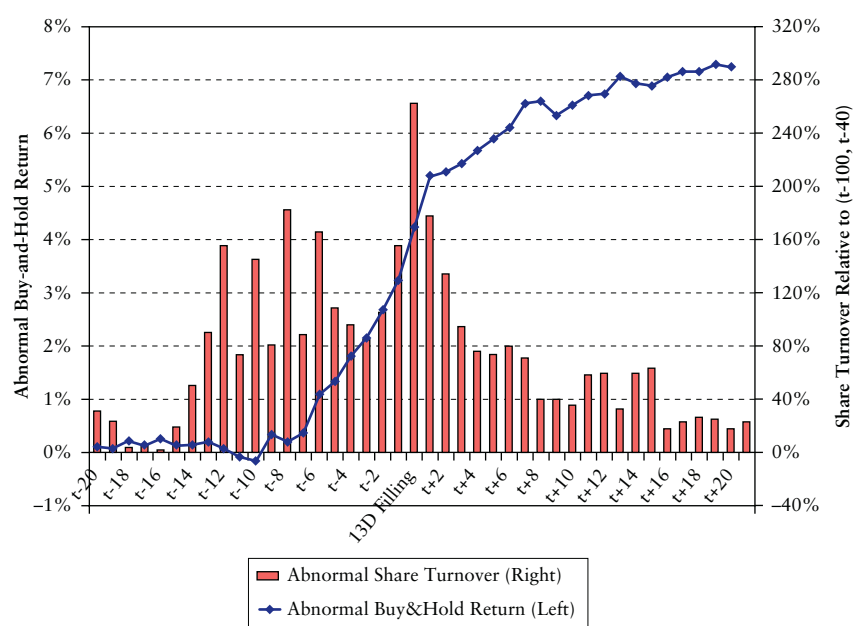


FIGURE 9.1 Excess Buy-and-Hold Returns Around Schedule 13D Filing
Source: Alon P. Brav, Wei Jiang, Randall S. Thomas, and Frank Partnoy. “Hedge Fund Activism, Corporate Governance, and Firm Performance (May 2008).” *Journal of Finance*, Vol. 63, pp. 1729, 2008.

reduced debt. Finally, corporate governance-related activism reduced agency costs as targeted companies tended to reduce assets compared to the average target. (Recall that Michael Jensen found that agency costs lead management teams to waste excess cash flow, growing assets at the expense of profitability.)

As we saw in earlier chapters, the returns to deeply undervalued stocks are very strong. To what extent are the returns to activism simply the returns to picking undervalued stocks? Asked another way, does activism create value, generating returns beyond the returns to cheap stocks? Benjamin Solarz at Yale University considered this question in 2009.⁶³ He examined the portfolios of activists and tracked the performance of “activist” campaigns, and “passive” investments—those investments that did not result in activism. Solarz concluded that activist holdings earn 3.8 percent greater returns than comparable passive investments over the first two months, and an astonishing 18.4 percent greater return over two years. Figure 9.2 shows the returns to activist and passive holdings over the short term (a 61-day window).